

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No. 17-07

PORT ELIZABETH TERMINAL & WAREHOUSE CORP.

COMPLAINANT

v.

THE PORT AUTHORITY OF NEW YORK AND NEW JERSEY

RESPONDENT

**REPLY BRIEF OF PORT ELIZABETH TERMINAL & WAREHOUSE CORP.
IN FURTHER SUPPORT OF ITS MOTION TO COMPEL DISCOVERY**

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Port Elizabeth Terminal & Warehouse Corp.

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COUNTER STATEMENT OF FACTS AND PROCEDURAL HISTORY

The facts asserted in the Verified Complaint will not be repeated at length but are incorporated herein by reference. The basis for Port Elizabeth Terminal & Warehouse Corp.'s cause of action is that, notwithstanding the decades long relationship between Port Authority of New York and New Jersey (PANYNJ) and Port Elizabeth Terminal & Warehouse Corp. (PET&W), the PANYNJ, without advising PET&W, leased the same property PANYNJ leased to PET&W to another Marine Terminal Operator, PNCT, providing an undue preference to PNCT and undue discrimination of PET&W. The PANYNJ also has refused to negotiate with PET&W regarding alternate space at Port Newark suitable for PET&W to continue to service its customers in the Shipping Industry.

The PANYNJ has refused to provide facts or documents regarding the discrimination of PET&W. For instance, PET&W served the following straight forward interrogatory seeking to find out why the PANYNJ agreed to provide PNCT with property already leased to PET&W, referred to as "Added Parcels":

Interrogatory 11. Did the PANYNJ agree to provide "Added Parcel" or "Added Parcels" as described in L-PN-264 to PNCT? If so, set forth the reasons why PANYNJ agreed to provide "Added Parcel" or "Added Parcels" as described in L-PN-264 to PNCT and identify all facts, documents and files?

PANYNJ provided the following response:

Answer: Please see the L-PN-264 lease, which speaks for itself, and is contained in the Ports file and in the Leases & Agreements file.

PET&W identified the following deficiency:

Deficiency: Unresponsive. Please set forth the reasons why PANYNJ agreed to provide "Added Parcel" or "Added Parcels" to PNCT.

Similarly, the following information was requested, response given and deficiency identified:

Interrogatory 15. If PANYNJ did not provide any tenant or other occupant of “Added Parcel” or “Added Parcels” as described in leases between the PANYNJ and PNCT including L-PN-264 an opportunity to negotiate to remain in possession of the relevant “Added Parcel” set forth why.

Answer: Although the tenants mentioned in the answer to interrogatory #12 were not allowed to remain in possession of the premises referenced as added parcels, the following tenants were relocated to alternate space:

- International Motor Freight
- Eastern Warehouse
- TRT International

Whereas the tenancies of Export Transport, Co. and Hudson Refrigeration were terminated or not renewed.

Deficiency: Unresponsive. Please set forth the reasons why the PANYNJ did not provide any tenant or other occupant of “Added Parcel” or “Added Parcels” an opportunity to negotiate to remain in possession of the relevant “Added Parcel” and the property in question was provided to PNCT.

Regarding PANYNJ’s refusal to engage in good faith negotiations, the following discovery exchange took place:

Interrogatory 32. State whether Port Elizabeth Terminal & Warehouse Corp. submitted a proposal to PANYNJ and brought to the attention of PANYNJ the necessity of negotiating a deal over suitable alternative space and the impact of PANYNJ’s failure to engage in good faith negotiations was having on its business Port Elizabeth Terminal & Warehouse Corp. and identify all persons involved, identify all communications with regard thereto and identify all pertinent documents and files.

Answer: The Port Authority objects to this interrogatory to the extent that it assumes facts that have not been proven. The names of all persons involved and documents showing that the Port Authority did engage in good faith negotiations with PETW on many occasions are contained in the Ports file and the PETW file.

Deficiency: Unresponsive. This seeks relevant information. A primary issue in this case pertains to the PANYNJ’s discrimination of PET&W and failure to

negotiate and this includes the PANYNJ's failure to negotiate. Accordingly, state whether Port Elizabeth Terminal & Warehouse Corp. submitted a proposal to PANYNJ and brought to the attention of PANYNJ the necessity of negotiating a deal over suitable alternative space and the impact of PANYNJ's failure to engage in good faith negotiations and identify all persons involved, identify all communications with regard thereto and identify all pertinent documents and files.

The above is only an example of the discovery deficiencies and PANYNJ's failure to comply with the rules of discovery which have been set forth at length in PET&W's motion papers.

As to the claim that other litigation is beyond the scope of discovery, one example of the position maintained by PANYNJ in a Shipping Act case brought by Maher Terminals should suffice. In response to interrogatory 2 of the Second Set of Interrogatories served by Maher Terminals, PANYNJ stated, in part:

[T]he Port Authority responds that it has an established practice and procedure of dealing with existing marine terminal operators with respect to the letting of facilities in the port. As part of that practice and procedure, the Port Authority considers all reasonable requests for the letting of facilities that the Port Authority owns and controls, and works with existing marine terminal operators to accommodate reasonable requests subject to the Port Authority's mission to promote the overall prosperity of the Port of New York and New Jersey and the surrounding region.

See, The Port Authority Of New York And New Jersey's Objections And Responses To Complainant's First Set Of Interrogatories, Number 15 – Exhibit 4 To Maher Terminals, LLC's Exhibits In Support Of Motion For Page Limitation Relief And Second Motion To Compel Discovery From Respondent Port Authority Of New York And New Jersey posted on the Federal Maritime Commission's Website https://www.fmc.gov/assets/1/Documents/12-02_2nd%20mtn_pg_limit.pdf.

In response to PET&W's Interrogatory requesting each regulation and/or practice of the PANYNJ as they pertain to Marine Terminal Operators the PANYNJ responded much differently:

The Port Authority objects to this interrogatory to the extent that it is vague and overly broad. The Port Authority also objects to this interrogatory on the ground that the information sought is irrelevant to the subject matter of this action. The Port Authority further objects to this interrogatory on the basis that responding to same would be unduly burdensome, expensive and/or time consuming.

The Verified Complaint in this case avers:

The Shipping Act 46 U.S.C. § 41102(c) requires MTOs (including port authorities) to "establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property."

The PANYNJ has not established, observed, and/or enforced just and reasonable regulations and practices as they pertain to tenants who receive, handle, store, or deliver property.

Rather, The PANYNJ's regulations and practices favor Marine Terminal Operators over others based upon non-transportation factors in a way so as to unduly favor certain Marine Terminal Operators based upon status.

[See Verified Complaint, paragraphs YY to AAA, page 11.]

Accordingly, PANYNJ's claim that the inquiry is "irrelevant to the subject matter of this action" is frivolous and PANYNJ has not provided any facts to justify its position that "responding to [this request] would be unduly burdensome, expensive and/or time consuming." This holds true regarding the other discovery requests.

As to PANYNJ's claim of privilege, it has not established a basis for its position. Simply designating a communication off limits by claiming it is privileged is insufficient.

LEGAL ARGUMENT

THE SCOPE OF DISCOVERY IN SHIPPING ACT MATTERS IS BROAD AND THE PARTY RESISTING DISCOVERY HAS THE BURDEN OF JUSTIFYING ITS OBJECTIONS, CONTRAY TO THE POSITION ASSERTED IN PANYNJ'S OPPOSITION BRIEF

PANYNJ ignores the applicable rule when it states the burden is on the PET&W in this motion to compel. The contrary is true. First, the scope of discovery in Shipping Act matters is broad. 46 C.F.R. §502.141 (e) provides:

(1) Unless otherwise limited by the presiding officer, or as otherwise provided in this subpart, the scope of discovery is as follows: Parties may obtain discovery regarding any nonprivileged matter that is relevant to any party's claim or defense—including the existence, description, nature, custody, condition, and location of any documents or other tangible things and the identity and location of persons who know of any discoverable matter. For good cause, the presiding officer may order discovery of any matter relevant to the subject matter involved in the action. Relevant information need not be admissible at hearing if the discovery appears reasonably calculated to lead to the discovery of admissible evidence.

As to withholding information and documents on the grounds of privilege, Federal Rule of Civil Procedure 26(a)(5) provides:

(A) *Information Withheld.* When a party withholds information otherwise discoverable by claiming that the information is privileged or subject to protection as trial-preparation material, the party must:

- (i) expressly make the claim; and
- (ii) describe the nature of the documents, communications, or tangible things not produced or disclosed—and do so in a manner that, without revealing information itself privileged or protected, will enable other parties to assess the claim.

In order for privilege to be asserted successfully, and “to qualify for non-disclosure, a document must have been (1) prepared by an attorney or his agent; and (2) must have been prepared in anticipation of litigation.”

The party resisting discovery bears the burden of justifying its objections. This imposes an obligation to provide sufficient detail and explanation to support privileges raised and other objections stated. The rule in Shipping Act cases was succinctly stated by Honorable Clay Guthridge, Administrative Law Judge, in his Memorandum and Order on Second Set of Discovery Motions dated July 23, 2010 in *Maher Terminals LLC v. Port Authority of New York and New Jersey*, Docket No. 08-03:

Rule 26 before the 2000 amendments was accorded broad and liberal treatment by the courts because “wide access to relevant facts serves the integrity and fairness of the judicial process by promoting the search for truth.” *Epstein v. MCA, Inc.*, 54 F.3d 1422, 1423 (9th Cir. 1995) quoting *Shoen v. Shoen*, 5 F.3d 1289, 1292 (9th Cir. 1993). “The key phrase in this definition – ‘relevant to the subject matter involved in the pending action’ has been construed broadly to encompass any matter that bears on, or that reasonably could lead to other matter that could bear on, any issue that is or may be in the case.” *Oppenheimer Fund, Inc. v. Sanders*, 437 U.S. 340, 351 (1978) citing *Hickman v. Taylor*, 329 U.S. 495, 501 (1947); *Daval Steel Products v. MIV Fakredine*, 951 F.2d 1357, 1367 (2d Cir. 1991). Accordingly, “discovery should be allowed unless the information sought has no conceivable bearing on the case.” *Jackson v. Montgomery Ward & Co., Inc.*, 173 F.R.D. 524, 528 (D. Nev. 1997) “If the interrogatory has a reasonable possibility of leading to admissible evidence then it complies with the purposes of the Federal Rules of Civil Procedure and is proper.” *Roesberg v. Johns -Manville Corp.*, 85 F.R.D. 292, 296 (E.D. Pa. 1980). However, the scope of discovery is not boundless and requests must be relevant and cannot be unreasonably cumulative, duplicative, or unnecessarily burdensome. *Jackson*, 173 F.R.D. at 526.

As Honorable Mark W. Bennett, Chief Judge of the United States District Court for the Northern District of Iowa, has stated:

In order to fulfill discovery’s purposes of providing both parties with “information essential to the proper litigation of all relevant facts, to eliminate surprise, and to promote settlement,” the discovery rules mandate a liberality in the scope of discoverable material. *Jochims v. Isuzu Motors, Ltd.*, 145 F.R.D. 507, 509 (S.D. Iowa 1992) (citing *In re Hawaii Corp.*, 88 F.R.D. 518, 524 (D. Haw. 1980)), see also *Seattle Times Co v. Rhinehart*, 467 U.S. 20, 34, 104 S Ct. 2199, 81 L. Ed. 2d 17 (1984) “Liberal discovery is provided for the sole

purpose of assisting in the preparation and trial, or the settlement, of litigated disputes.”); *Oppenheimer Fund, Inc. v. Sanders*, 437 U.S. 340, 351, 98 S. Ct. 2380, 57 L. Ed. 2d 253 (1978), *SDI Operating Partnership, LP. v. Neuwirth*, 973 F.2d 652 (8th Cir 1992), *Lozano v Maryland Casualty Co.*, 850 F.2d 1470, 1472 (11th Cir 1988), *Gary Plastic Packaging Corp v. Merrill Lynch, Pierce, Fenner & Smith, Inc.*, 756 F.2d 230, 236 (2d Cir 1985), *Miller v. Pancucci*, 141 F.R.D. 292, 298 (C.D. Cal. 1992) (stating that the federal policy of discovery is a liberal one). Thus, as long as the parties request information or documents relevant to the claims at issue in the case, and such requests are tendered in good faith and are not unduly burdensome, discovery shall proceed. *M. Berenson Co, Inc. v. Faneuil Hall Marketplace, Inc.*, 103 F.R.D. 635, 637 (D. Mass. 1984).

The party resisting production bears the burden of establishing lack of relevancy or undue burden. *Oleson v Kmart Corp.*, 175 F.R.D. 560, 565 (D. Kan. 1997) (“The objecting party has the burden to substantiate its objections.”) (citing *Peat, Marwick, Mitchell & Co v. West*, 748 F.2d 540 (10th Cir. 1984), cert. dismissed, 469 U.S. 1199, 105 S. Ct. 983, 83 L. Ed. 2d 984 (1985) accord *G-69 v Degnan*, 130 F.R.D. 326, 331 (D.N.J.1990), *Flora v. Hamilton*, 81 F.R.D. 576, 578 (M.D.N.C 1978). The party must demonstrate to the court “that the requested documents either do not come within the broad scope of relevance defined pursuant to Fed. R. Civ. P. 26(b)(1) or else are of such marginal relevance that the potential harm occasioned by discovery would outweigh the ordinary presumption in favor of broad disclosure.” *Burke v. New York City Police Department*, 115 F.R.D. 220, 224 (S.N.D.Y 1987). Further, the “mere statement by a party that the interrogatory [or request for production] was ‘overly broad, burdensome, oppressive and irrelevant’ is not adequate to voice a successful objection.” *Josephs v. Harris Corp.*, 677 F.2d 985, 992 (3d Cir. 1982) quoting *Roesberg v. Johns-Manville Corp.*, 85 F.R.D. at 296 - 297, see also *Oleson*, 175 F.R.D. 560, 565 (“The litany of overly burdensome, oppressive, and irrelevant does not alone constitute a successful objection to a discovery request.”) (citation omitted). “On the contrary, the party resisting discovery ‘must show specifically how each interrogatory [or request for production] is not relevant or how each question is overly broad, burdensome or oppressive.’” *Id.* at 992 (quoting *Roesberg*, 85 F.R.D. at 296-297), see also *Oleson*, 175 F.R.D. 560, 565 (“The objecting party must show specifically how each discovery request is burdensome or oppressive by submitting affidavits or offering evidence revealing the nature of the burden.”), *Cipollone v. Liggett Group, Inc.*, 785 F.2d 1108, 1121 (3d Cir 1986) (holding that it is not sufficient to merely state a generalized objection, but, rather, objecting party must demonstrate that a particularized harm is likely to occur if the discovery be had by the party seeking it), *Degnan*, 130 F.R.D. at 331 (D.N.J. 1990) (same).

[*St. Paul Reinsurance Co., Ltd. v Commercial Financial Corp.*, 198 F.R.D. 508, 511, 512 (N.D. Iowa 2000)].

Neither the PANYNJ's brief in opposition to PET&W's motion to compel nor the certification of PANYNJ's counsel has the required detail to support the privileges raised and lack an explanation of time, money, and procedure purportedly constituting undue burden.

The categorical exclusion of PET&W and other existing tenants from negotiating for property provided to PNCT, without proper justification, would violate the Shipping Act. *Maier Terminals LLC v. Port Authority of N.Y. & N.J.*, Dkt. 12-02, 2015 WL 9426189, at *18, *22 & *26 (F.M.C. Dec. 18, 2015). The requested discovery, therefore, is essential to PET&W's prosecution of its claims. Only PANYNJ possesses evidence of its purported "legitimate business reasons" or "risks and benefits," whatever they are. PET&W has no access to the evidence unless it can obtain the requested discovery from PANYNJ. PANYNJ has likely previously collected, processed, and reviewed documents responsive to PET&W's discovery requests in other Shipping Act litigation including litigation brought by Maier Terminals, PNCT, ASI/AWI, *etc.*, thus it cannot complain of undue burden now.

With respect to resources, the monopoly PANYNJ enjoys exercises enormous economic power. Its annual budget authority is almost \$8 billion, including over \$36 million in "General Counsel/Law" budget authority. PANYNJ, 2016 Budget Schedules, available at <http://corpinfo.panynj.gov/pages/budget-capital-plan>. Therefore, PANYNJ commands enormous resources to satisfy PET&W's essential discovery requests in this important matter.

CONCLUSION

For the foregoing reasons, PET&W respectfully requests that the Presiding Officer grant PET&W's Motion to Compel PANYNJ to provide full and complete responses to PET&W's discovery requests forthwith so that we can abide by the Scheduling Order.

Respectfully submitted,

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Dated: November 23, 2017